

Organisation and Management

Study notes, Sessions 1 to 3

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Introduction: how the three sessions connect

These notes follow the slides of the first three sessions. The assessment is 20% attendance and involvement, 30% in-class closed-book tests (usually not announced; MCQ, short essays or cases) and 50% final exam (a short case with a few questions asking to apply the models, closed book). So the aim is to recognise which concept a situation illustrates and to say why, not to recite definitions.

The three sessions tell one story:

1. Session 1: the performance of an organisation is not the sum of the performances of its members. How people are divided and coordinated decides the result.
2. Session 2: when firms became large (19th century), owners could no longer supervise everyone directly, so managers appeared. Four authors (Taylor, Fayol, Weber, Follett) proposed ways to organise work at scale.
3. Session 3: every organisation divides work, and divided work has to be coordinated. Structure is the way of grouping people while keeping enough coordination. Mintzberg gives five coordination mechanisms and five resulting configurations.

To remember: two words come back in every session: divide and coordinate. When a case is confusing, ask what is being divided and what ties it back together.

Session 1: Introduction

1.1 The central inequality

Performance of the organisation $\neq$ sum of the performances of its n individuals. The slides illustrate this with two clouds of arrows: in the first every person pushes in a different direction, in the second all push the same way. The effort is the same, the result is not. A rowing eight is the image: eight people working hard on different rhythms go slower than eight in rhythm.

1.2 Why study organisations: five claims

Claim on the slides	Example used in class
Organisations play a major role in society; we belong to many of them, more or less formal	Photos of a factory, an office meeting, a charity
They exist in a variety of forms, with different advantages and drawbacks	Hilton: 93 years to build, 610,000 rooms, 88 countries. Airbnb: 4 years, 650,000 rooms, 192 countries
Making the right choices and decisions is key to performance and success	Rowing eight; Kodak and Nokia; France football 1998 and 2002; France–Tonga rugby 2011 (14–19); PSG with Messi, Mbappé and Neymar

Claim on the slides	Example used in class
Organisations strongly affect individuals and their behaviour	Zimbardo, Stanford Prison Experiment, 1971
Understanding organisational complexity is an asset for managers	Audencia and Essec (2014) report: around thirty, managers' potential is no longer driven by technical competence alone

The football and rugby examples all make the same point: similar individual talent can lead to very different collective outcomes.

1.3 What is an organisation?

Year	Author	Keyword	Idea
1964	Talcott Parsons	objectives	Social units meant to reach specific objectives
1966	Katz and Kahn	open systems	Open systems of activities interwoven with individuals
1970	Edgar Schein	rational	Rational coordination of the activities of people, through division of work, hierarchy and responsibilities
1977	Michel Crozier	collective action	An answer to the problem of collective action
1979	Howard Aldrich	frontiers	Activity systems oriented toward an end and maintaining their frontiers
1989	Henry Mintzberg	common mission	Collective action in search of a common mission

The definition to use in the course: an organisation is a **stable collaboration of actors**, following **common general objectives**, through **division of work and functions** and through specific **coordination mechanisms**.

***To remember:** the four ingredients are Stable, Common objectives, Division, Coordination. The last two are the pair that returns in sessions 2 and 3. For the authors, link each to one word and one year (64, 66, 70, 77, 79, 89).*

Pairs that are easy to mix up:

- Parsons (objectives) vs Mintzberg (common mission): Parsons defines the unit by its goal, Mintzberg by people acting together.
- Katz and Kahn (open) vs Aldrich (frontiers): open does not mean without borders; Aldrich insists that the organisation still has an inside and an outside.
- Schein (rational coordination) vs Crozier (collective action problem): Schein describes the design, Crozier the problem the design tries to solve.

1.4 Case: Operation Souvenir

A six-month Canadian anti-terrorist investigation by the RCMP. In June 2015 Mr Nuttall and Ms Korody were found guilty of terrorism by a jury. In summer 2016 the Supreme Court of British Columbia overturned the verdict: "The world has enough terrorists. We do not need the police to create more from marginalized people who have neither the capacity nor the motivation to do it themselves" (R. v. Nuttall, 2016 BCSC 1404). The questions were: which organisational features and mindsets may have contributed, and what would you recommend to the RCMP?

Method for this kind of question (my own approach, not facts about the case): choose a lens from the course (work, structure, incentives, culture, power, decision-making), name a feature, say what behaviour it pushes people toward, and state the consequence. For instance, if success is measured by cases produced, investigators have a reason to produce a case. Blaming “bad investigators” misses the point of the session, which is that features of the organisation shape behaviour.

1.5 Course calendar

Session 1 (16/9) introduction; 2 (23/9) historical perspectives and work; 3 (30/9) structure; 4 (7/10) culture; 5 (14/10) incentives; 6 (21/10) power and legitimacy; 7 (4/11) decision-making; 8 (18/11) conclusion. Sessions 4 to 8 are not covered in these notes.

Session 2: Historical perspectives and work

2.1 Why management was needed

In the 19th century companies were small and often family-run, workers were craftspeople, and the owner supervised directly. Companies then grew and people left the countryside for large sites (railways, steelworks, the Chicago slaughterhouses). Three changes created the modern company:

1. New industries: cars (Renault at Billancourt), the telephone, electricity.
2. Labour law: the work contract creates a subordination link between worker and employer.
3. Directors: control passes from owners to managers, and business schools are created (Harvard MBA).

Direct supervision by the owner could not scale, so a manager or team leader appeared between the owner and the workers. At the same time positivism, a strong trust in science, encouraged the idea that organisations could be designed scientifically.

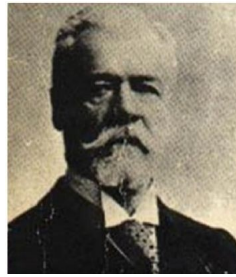
Chicago slaughterhouses and other dates

Date	Event
1776	Adam Smith, Wealth of Nations: the pin factory formalises the economic value of the division of labour
1865	Chicago stockyards open at the crossroads of 12 railway lines
1867	Armour and Cy, the first industrial abattoir
1873	Cincinnati pork packing: only the overhead rail is automated but labour is already divided, each man doing one operation
1880	Chicago: two companies, 25,000 employees, 80% of the meat eaten in the USA
1886 / 1892 / 1915	Coca-Cola: invented by a pharmacist / company founded with aggressive marketing / the bottle
1905 / 1906	Upton Sinclair, The Jungle, denounces the conditions in abattoirs / Pure Food and Drug Act
1911	Taylor, The Principles of Scientific Management
1916	Fayol, Administration industrielle et générale
1922	Weber, Economy and Society (he died in 1920)

2.2 The four authors



F. W. Taylor (1856–1926)



Henri Fayol (1841–1925)



Max Weber (1864–1920)



Mary Parker Follett
(1868–1933)

To remember: birth order is Fayol 1841, Taylor 1856, Weber 1864, Follett 1868 (F-T-W-F). Weber died first (1920), Follett last (1933). The three founding books come in 1911, 1916 and 1922.

	Taylor	Fayol	Weber	Follett
Looks at	The task on the shop floor	The job of the manager and the hierarchy	The organisation as a whole and why people obey	The group
Main idea	Separate design from production; specialise and standardise	Six functions, 14 principles, qualities of the manager	Rational-legal authority, bureaucracy	Integration of conflicts, “power with”, groups
View of the person	Rational	Rational	Rational	Social
Key words	One best way, soldiering	Administration, unity of command	Ideal type, legitimacy	Integration, power with

2.3 Taylor and scientific management

Frederick Winslow Taylor (1856–1926) was born into a wealthy Quaker family in Philadelphia. He passed the Harvard Law entrance examination in 1874 but, allegedly because of his eyesight, chose another path. He started at Midvale Steel Works in 1878 and rose from machine-shop labourer to foreman, shop manager and chief engineer. He authored 42 patents, won a gold medal at the Paris Universal Exposition in 1900, then worked as a consulting engineer. His main work was published in 1911.

The argument runs as follows.

1. As shop manager he saw a “powerless hierarchy”: hierarchical control was not an efficient way of coordinating work.
2. Workers practised “soldiering”: they worked well below their capacity so as not to be caught in a spiral of rising objectives without a proportional rise in pay. The interests of workers and managers were not aligned.
3. Workers also held technical know-how that managers did not master, so they could choose their own methods whatever the efficiency.
4. Taylor’s answer was a strict division between design and production, with specialisation and standardisation of tasks.

5. Method: observe 10 to 15 skilled workers, divide the work into a sequence of tasks, time each task and remove any gesture that does not contribute. The best method, generally the fastest, becomes the “one best way”, a standard every worker must follow.
6. It is completed by selection (“the right man in the right place”) and pay based on individual performance, with a possible 30% to 100% extra salary.
7. Supervision is separated from production: four foremen, each in charge of a specific functional task (so each worker has several bosses), and a centralised, powerful department in charge of working methods (preparing work, execution, hiring, pay, discipline).

The slides speak of a vertical and a horizontal division of labour. My reading: horizontal means cutting the job into specialised tasks; vertical means separating those who think and plan from those who execute.

Common mistake: confusing Taylor’s “one best way” (a method found by timing skilled workers) with Fayol’s “unity of command” (one boss). Taylor in fact gives each worker several bosses.

2.4 Fayol and the role of the manager

Henri Fayol (1841–1925) was a French engineer (École des Mines de Saint-Étienne) and a successful top manager. He published *Administration industrielle et générale* in 1916, one of the first books on management. His context was mining, which is dangerous (gas, floods, landslides); unity of command and the quality of supervisors were therefore key for him.

Six functions of the firm

Technical (production), commercial (purchases, sales), finance (raising funds, managing assets), security (protecting property and people), accounting (inventory, balance sheet, P&L, statistics) and administration (planning, organising, leading, controlling). The sixth was ignored before Fayol, who stressed its importance. Here “administration” means the management function, not clerical staff.

To remember: *make, sell, fund, guard, count, run.*

Fourteen principles

Group	Principles
Interest of the organisation (1)	Subordination of individual interest to the interest of the organisation
Rationality and efficiency (3)	Division of labour (specialisation, less waste); order (tasks, processes and behaviour rationalised); discipline (respect for the rules)
Top-down authority (5)	Centralisation (managers keep final responsibility); scalar chain (chain of command from the top to the bottom); unity of command (an employee receives orders from one chief only); unity of direction (similar activities directed to one goal under one manager); authority (power to command, reward and punish)
Focus on people (3)	Stability of tenure of personnel; initiative (employees develop and carry out improvement plans); esprit de corps (teamwork and unity)
Rewarding (2)	Remuneration (fair pay); equity (fair and equal treatment)

To remember: the groups are *Interest, Rationality, Top-down, People, Rewarding* (“*I Run The Place Right*”), and the counts 1-3-5-3-2 add up to 14.

Principles that are easily confused:

- Unity of command concerns people and bosses (one chief per employee); unity of direction concerns activities and goals (one plan, one manager per group of similar activities).
- Scalar chain is the path along which orders travel; authority is the right to give them and to reward or punish.
- Remuneration is about pay; equity is about fair treatment in general.
- Order concerns things and processes; discipline concerns people respecting rules.

Fayol also lists six qualities of the manager: physical, mental, moral, education, technical and experience.

Taylor and Fayol compared

Both were engineers who favoured a rational, universal and scientific approach (“one best way”). Taylor starts from the workshop and optimises the task, with several functional bosses per worker. Fayol starts from the manager’s function and works top-down, with one boss per employee.

2.5 Weber and bureaucracy

Max Weber (1864–1920) was a German lawyer, then professor (Berlin, Fribourg), and one of the founding fathers of sociology. His ideas on bureaucracy are in *Economy and Society* (1922). Where other researchers asked why individuals break rules, he asked what makes them obey. He identifies three types of legitimacy:

Type	People obey because	Example from the slide exercise (my classification)
Traditional	“It has always been so”: tradition and customs	Kennedy’s family; Pope Leo (arguable: authority of an office)
Charismatic	Belief in and devotion to a sacred or heroic leader	Steve Jobs
Rational-legal	Stable, explicit, fair and impersonal rules; power goes to those most qualified	Angela Merkel; Didier Deschamps (arguable)

The slide does not give the answers. In an exam, any label is acceptable if justified by “people obey because...”.

Only rational-legal legitimacy replaces discrimination and arbitrary power by a system where people obey rules and the function, not the individual. Organisations built on it are, for Weber, of the bureaucratic type. Bureaucracy is an ideal type that should become the dominant form because of its efficiency (precision, speed, clarity, regularity, reliability). Its principles:

- rules result from rationality or mutual agreement;
- authority is exercised as an impersonal function, not by individuals;

- legal demarcation between roles;
- work under a contract, neutral selection based on technical qualifications, appointed rather than elected, fixed salary;
- employees can resign but are not likely to be laid off (lifelong careers) unless they commit severe mistakes identified upfront;
- strict internal discipline and operating rules.

The word “bureaucratic” later became pejorative (red tape, slowness, waste, rules that defeat their own purpose). Merton called one mechanism **goal displacement**: attention goes to the rules themselves instead of the objectives behind them.

Common mistake: thinking Weber criticised bureaucracy. He proposed it as an efficient ideal; the criticism comes afterwards.

2.6 Follett

Mary Parker Follett (1868–1933), called the “Mother of Modern Management”, emphasised the human and social side of work and is seen as a forerunner of the human relations movement and a bridge between classical and modern theories. Three contributions: (1) integrative conflict resolution, meaning that perspectives are combined into a solution that benefits both sides, rather than domination or compromise; (2) “power with” (collaborative power) instead of “power over” (coercive power); (3) groups, not individuals, are the primary unit of organisational life, and organisations are dynamic and fluid rather than rigid hierarchies.

2.7 Richard Scott’s overview of theories

Two questions place a theory: is the organisation a closed or an open system, and is the individual a rational or a social agent?

Period	Name	System / individual	Idea	Authors
1900–1930	Directive management	Closed / rational	Achieve order through formal rules	Weber, Taylor, Fayol
1930–1960	Human relations	Closed / social	Motivate the individual: group, motivation and work conditions	Mayo, McGregor, Maslow, Herzberg (Simon near the line)
1960–1970	Contingency and planning	Open / rational	The organisation must adapt to external forces	Chandler, Lawrence and Lorsch, Woodward, Perrow, DiMaggio and Powell
1970 onwards	Participative management	Open / social	Managing complexity, change and innovation through culture and leadership	Weick, March, Ouchi (Crozier near the line)

To remember: read in time order, the four boxes of the matrix draw the letter N: down the left side, up to the top right, down the right side. Follett is not on this chart.

Session 3: Structure

3.1 The dilemma

Work has to be divided (a football team does not play with eleven goalkeepers or eleven strikers); this is **differentiation**. Divided work has to be coordinated; this is **integration**. Structure is the way of grouping employees into units while ensuring enough coordination to achieve efficiency. An organisation chart (boxes and arrows showing hierarchical relations) is a first description, but it does not show how coordination actually works, which is why Mintzberg's model is needed.

3.2 Three structures on the organisation chart

	Functional	Divisional	Matrix
Grouping by	Work function (engineering, R&D, manufacturing, finance, marketing, purchasing, HR)	Product, customer type or region; each division has its own functions and is a profit centre	Two logics at the same time (function and project, or function and division)
Coordination	Mostly by top management	Headquarters, or standardisation of results (profits)	Function managers allocate resources, project managers run projects (budget, timeline)
Strengths	Economies of scale, high specialisation; transparent for employees; tight control by top management	Fits very large organisations; high accountability; responsive to customers	Great flexibility; advantages of both functional and divisional
Weaknesses	Conflicts between functions; slow adaptation; overload of top management if the firm is big	Duplication, no economies of scale; high coordination cost; competition between divisions	Conflicts between the dual lines of authority; hard to implement and manage

The slides give Unilever as an example: product segments (personal care, refreshments, food, home care) crossed with functions (marketing, supply chain, R&D, legal, HR) under the CEO, Paul Polman.

To remember: *functional = scale, divisional = focus, matrix = flexibility. The matrix gives an employee two bosses, which is what Fayol's unity of command forbids (and what Taylor's four foremen did).*

3.3 Mintzberg



Henry Mintzberg (born 1939, Montréal)

Mintzberg, born in Montréal in 1939, has written about 20 books on organisations and strategy. An organisation uses all coordination mechanisms but one is usually dominant.

Five coordination mechanisms

Mechanism	What is fixed	Definition
1. Direct supervision	the boss	One person takes responsibility for the work of others and gives orders
2. Standardisation of work processes	how	Work content specified in rules and routines; coordination occurs before the activity
3. Standardisation of outputs	what	Expected results are communicated; the way to reach them is not prescribed
4. Standardisation of skills and knowledge	who	Standardised training; people know what to expect of each other and coordinate almost automatically
5. Mutual adjustment	peers	Informal communication between people doing interdependent work

Exercise on the slides, with my answers: a bar where one waiter takes the order and the other serves it, always the same way, is standardisation of work processes; traders who must raise annual gain by 15% no matter how, standardisation of outputs; basketball players during a game, mutual adjustment; the Roman army, direct supervision (with drilled formations), although the slide leaves this open.

Distinctions: a rule saying how to do the job is processes, a target saying what to achieve is outputs, and training received before the job is skills. A boss telling people what to do is supervision; peers talking among themselves is mutual adjustment.

Five components of an organisation

Component	Role
Strategic apex	Top management; ensures the organisation is efficient and serves those who control it
Middle line	Managers who connect the strategic apex with the operating core
Operating core	Performs the basic work directly related to producing products and services
Technostructure	Analysts who design, plan, change or train the operating core
Support staff	Provide support to the organisation outside the operating core's activities

Classification exercise (slide 20), my answers: CEO and board of directors, strategic apex; division director, director of production and foreman, middle line; machine operators and sales force, operating core; training and planning, technostructure; cleaning services, support staff. A useful test between the last two: does the unit change how the operators do their work (technostructure) or does it only serve around them (support staff)?

Five configurations

Configuration	Main coordination	Key part	Main pull	Typical context
Simple structure	Direct supervision	Strategic apex	Centralisation	Young or small firm, simple environment; or any firm in a crisis
Machine bureaucracy	Standardisation of work processes	Technostructure	Standardisation	Big, mature, routine mass production, simple and stable environment

Configuration	Main coordination	Key part	Main pull	Typical context
Divisional structure	Standardisation of outputs	Middle line	Balkanisation	Big, mature firm in diversified markets
Professional bureaucracy	Standardisation of skills	Operating core	Professionalisation	Complex but stable environment, complex knowledge
Adhocracy	Mutual adjustment	Support staff	Collaboration	Complex, dynamic, unstable environment; innovation is critical

To remember: line *n* uses mechanism *n* (1 boss, 2 how, 3 what, 4 who, 5 peers). Key parts in order: apex, techno, middle, core, support. Balkanisation: the Balkans broke into separate states, as divisions drift apart.

	Strengths	Weaknesses	Examples
Simple structure	Simple, fast, flexible, cheap, reactive, little goal ambiguity	Top manager overloaded; inadequate when the firm grows; risk of neglecting strategy; dependence on a strong, charismatic leader	Start-ups, architect office, small shop, a special army operation
Machine bureaucracy	Highly efficient on standardised activities, economies of scale, no duplication, rules replace discretion	Mostly vertical communication, obsession with rules, low adaptation, little attention to people in the core	Heavy industry, public administration
Divisional structure	Accountability, units can be removed with little effect, risks and resources shared	Duplication, divisional conflict, coordination problems, excessive pressure on results	More than 60% of the Fortune 500; General Motors (Alfred Sloan, 1875–1966)
Professional bureaucracy	Expertise and autonomy; control by professionals and their associations	Conflict with support staff; rejects innovations that question professionals' knowledge; poor with unknown problems	Hospitals, universities, consulting firms, newspapers, investment banks
Adhocracy	Permanent innovation, flexibility	Tension and conflict, ambiguity, inefficiency (communication cost), pull toward bureaucratisation	Task force of the Normandy landing, NASA at its beginning, small consulting firms, research labs

Configurations that look alike

- **Machine vs professional bureaucracy.** Both are stable and standardised. The machine bureaucracy standardises the work (by analysts inside the firm, centralised); the professional one standardises the person through training received outside (decentralised, controlled by the professionals themselves).
- **Machine bureaucracy vs divisional.** Inside a division you usually find a machine bureaucracy. Headquarters of a divisional firm does not dictate how, it judges results.
- **Professional bureaucracy vs adhocracy.** Both rely on experts. In the first the problems are known and each expert applies a trained repertoire; in the second the problems are new and experts team up and adjust to each other.
- **Simple structure vs adhocracy.** Both are flat and flexible. In the first power sits with one person; in the second it flows to whoever has the expertise.

Which environment suits which configuration

Simple and stable, routine technology: machine bureaucracy. Complex but stable: professional bureaucracy. Complex and dynamic, innovation critical: adhocracy. Diversified markets: divisional structure. Small or young firm, or any firm facing a hostile environment: simple structure (regardless of size).

Common mistake: mixing the two vocabularies. Functional, divisional and matrix describe where lines are drawn on the chart; Mintzberg's five describe how coordination really works. "Divisional" appears in both: the same idea, with Mintzberg adding that coordination is by outputs. Also, professional bureaucracy is decentralised although it contains the word bureaucracy, and adhocracy's key part is the support staff, not the top.

Links between the sessions

Link	Explanation
Division of labour everywhere	Smith, Taylor and Fayol's first principle all start with dividing work; Session 3 names the cost, coordination (differentiation and integration)
Taylor's methods department and the technostructure	Both are analysts who design and standardise other people's work (my link)
Taylor, Weber and machine bureaucracy	Standardised tasks and rule-based authority applied to a whole organisation give a machine bureaucracy; its weakness, an obsession with rules, is Merton's goal displacement (my link)
Number of bosses	Fayol: one boss. Taylor's four foremen and the matrix structure: several bosses, hence conflicts of authority
Weber's legitimacies and structures	The simple structure depends on a strong charismatic leader; the machine bureaucracy is rational-legal authority turned into a structure; the 19th-century family firm is close to traditional authority (my link)
Follett and adhocracy	Both stress collaboration and shared power; both belong to the open system and social individual quadrant of Scott's chart (my link)
Scott and Mintzberg	Adapting the structure to the environment (1960–70) is the logic of Mintzberg's contingency factors
Pay and results	Taylor's extra pay for extra output and Fayol's remuneration announce session 5 (incentives); "increase gain by 15%" is standardisation of outputs

Numbers and dates to memorise

Item	Fact
Assessment	20 / 30 / 50
Hilton vs Airbnb	93 years, 610,000 rooms, 88 countries vs 4 years, 650,000 rooms, 192 countries
France–Tonga 2011	14–19
Stanford Prison Experiment	1971
Chicago	1865, 1867, 1880 (2 companies, 25,000 employees, 80% of meat)
The Jungle / Pure Food and Drug Act	1905 / 1906
Coca-Cola	1886, 1892, 1915
Lifespans	Fayol 1841–1925, Taylor 1856–1926, Weber 1864–1920, Follett 1868–1933
Books	Taylor 1911, Fayol 1916, Weber 1922

Item	Fact
Taylor	42 patents; Midvale Steel 1878; gold medal Paris 1900; 10–15 workers observed; +30% to +100% pay; 4 foremen
Fayol	6 functions, 14 principles (1-3-5-3-2), 6 manager qualities
Weber	3 types of legitimacy; 6 principles of bureaucracy
Scott periods	1900, 1930, 1960, 1970
Mintzberg	Born 1939; about 20 books; 5 mechanisms, 5 components, 5 configurations; more than 60% of the Fortune 500 are divisional

Quiz

Answer first, then check the answer key on the last page.

1. A team of strong individuals ships nothing because their efforts clash. Which statement from Session 1 explains this?

- a) Performance of the organisation = sum of individual performances
- b) Performance of the organisation $\neq$ sum of individual performances
- c) Organisations are closed systems
- d) Individuals are rational agents

2. Which is not one of the four ingredients of the course definition of an organisation?

- a) Stable collaboration of actors
- b) Common general objectives
- c) Maximised profit
- d) Coordination mechanisms

3. “Activity systems oriented toward an end and maintaining their frontiers” is the definition of:

- a) Katz and Kahn
- b) Aldrich
- c) Parsons
- d) Schein

4. “Collective action in search of a common mission” is the definition of:

- a) Mintzberg
- b) Parsons
- c) Crozier
- d) Schein

5. The Stanford Prison Experiment supports which claim?

- a) Organisations take many forms
- b) Organisations strongly affect behaviour
- c) Technical competence matters most
- d) Organisations are open systems

6. Which came first?
- a) Taylor's Scientific Management
 - b) Smith's Wealth of Nations
 - c) Fayol's Administration industrielle et générale
 - d) Weber's Economy and Society
7. Which is not one of the three changes behind the modern company?
- a) New industries
 - b) Labour law
 - c) Appearance of directors
 - d) Rise of trade unions
8. A worker receives instructions from four functional foremen. Whose model is this and which Fayol principle does it break?
- a) Taylor; unity of command
 - b) Weber; discipline
 - c) Fayol; unity of direction
 - d) Follett; esprit de corps
9. Which function did Fayol say was ignored before him?
- a) Technical
 - b) Security
 - c) Accounting
 - d) Administration
10. "Payment should be fair and satisfactory for employees and for the organisation" is:
- a) Equity
 - b) Remuneration
 - c) Stability of tenure
 - d) Discipline
11. Unity of command means:
- a) One goal for similar activities
 - b) One chief for each employee
 - c) A chain from top to bottom
 - d) Power to reward and punish
12. "Soldiering" in Taylor's work is:
- a) Military discipline in factories
 - b) Working below capacity to avoid ever-rising targets without extra pay
 - c) Foremen punishing slow workers
 - d) Training workers like soldiers

- 13.** Steve Jobs's authority at Apple is mostly:
- a) Traditional
 - b) Charismatic
 - c) Rational-legal
 - d) A bureaucratic type
- 14.** A hospital refuses an urgent patient because a form is incomplete. This illustrates:
- a) Goal displacement
 - b) Soldiering
 - c) Unity of command
 - d) Charismatic legitimacy
- 15.** Which is correct about Weber's bureaucracy?
- a) Officials are elected for fixed terms
 - b) Authority belongs to the person of the leader
 - c) It is an ideal type; officials are appointed on qualifications and paid a fixed salary
 - d) It was designed to maximise red tape
- 16.** "Power with" instead of "power over" is associated with:
- a) Taylor
 - b) Fayol
 - c) Weber
 - d) Follett
- 17.** Mayo, McGregor, Maslow and Herzberg belong in Scott's chart to:
- a) Directive management
 - b) Human relations
 - c) Contingency and planning
 - d) Participative management
- 18.** A firm is grouped into Engineering, R&D, Manufacturing, Finance, Sales, HR under the CEO. Structure and typical weakness?
- a) Functional; slow adaptation and conflicts between functions
 - b) Divisional; duplication
 - c) Matrix; dual authority
 - d) Simple; overload
- 19.** Two divisions each have their own manufacturing, finance and marketing and each is a profit centre. Structure and typical weakness?
- a) Divisional; duplication and competition between divisions
 - b) Functional; slow response
 - c) Matrix; dual authority
 - d) Machine bureaucracy; only vertical communication

20. An engineer reports to the HR function manager and to the manager of Project A. Typical problem?

- a) Conflict between two lines of authority
- b) Loss of economies of scale
- c) Overload of the top manager
- d) No profit accountability

21. “Every trader must raise annual gain by 15%, no matter how.” Which mechanism?

- a) Standardisation of work processes
- b) Standardisation of outputs
- c) Mutual adjustment
- d) Direct supervision

22. Surgeons coordinate mostly because they received the same training. Which mechanism?

- a) Standardisation of skills
- b) Standardisation of work processes
- c) Direct supervision
- d) Standardisation of outputs

23. A ten-person start-up where the founder decides and supervises everything. Configuration and risk?

- a) Simple structure; overload of the founder
- b) Adhocracy; ambiguity
- c) Machine bureaucracy; low adaptation
- d) Professional bureaucracy; rejection of innovation

24. Routine mass production with a powerful analysts’ department writing procedures. Configuration and key part?

- a) Machine bureaucracy; technostructure
- b) Professional bureaucracy; operating core
- c) Divisional; middle line
- d) Adhocracy; support staff

25. Hospitals and universities rely on staff whose qualifications are standardised outside. Key part and mechanism?

- a) Operating core; standardisation of skills
- b) Technostructure; standardisation of processes
- c) Middle line; standardisation of outputs
- d) Support staff; mutual adjustment

26. Headquarters judges each division on profit and leaves it free on how to get it. Mechanism and pull?

- a) Standardisation of outputs; balkanisation
- b) Standardisation of processes; standardisation
- c) Direct supervision; centralisation
- d) Mutual adjustment; collaboration

27. A temporary team of experts in a turbulent environment where the expert leads. Configuration?

- a) Adhocracy
- b) Simple structure
- c) Machine bureaucracy
- d) Divisional structure

28. What best separates machine and professional bureaucracy?

- a) The machine one standardises the work, centralised; the professional one standardises the worker through outside training, decentralised
- b) The machine one is small
- c) The machine one uses mutual adjustment
- d) The professional one has no hierarchy

29. Planning analysts who design procedures for the plant belong to the:

- a) Strategic apex
- b) Technostructure
- c) Support staff
- d) Middle line

30. The cafeteria and the legal counsel belong to the:

- a) Support staff
- b) Technostructure
- c) Operating core
- d) Middle line

31. Taylor's centralised methods department corresponds in Mintzberg's model to the:

- a) Technostructure
- b) Middle line
- c) Support staff
- d) Strategic apex

Answer key

1-b 2-c 3-b 4-a 5-b 6-b 7-d 8-a 9-d 10-b 11-b 12-b 13-b 14-a 15-c 16-d 17-b 18-a
19-a 20-a 21-b 22-a 23-a 24-a 25-a 26-a 27-a 28-a 29-b 30-a 31-a

1. Alignment and coordination can raise or lower the result relative to the sum of the parts.
2. The four are stable collaboration, common objectives, division of work and functions, and coordination mechanisms.
3. Aldrich, 1979.
4. Mintzberg, 1989.
5. Zimbardo, 1971.
6. 1776, against 1911, 1916 and 1922.
7. Trade unions are not among the three on the slides.
8. Taylor's functional foremen; Fayol requires one chief.
9. Planning, organising, leading, controlling.
10. Equity concerns fair treatment in general.
11. The first is unity of direction, the third the scalar chain, the fourth authority.
12. It results from non-aligned interests.
13. Belief and devotion toward a person.
14. Merton: the rule replaces the objective behind it.
15. Rational-legal authority.
16. Mary Parker Follett.
17. 1930–1960, closed system, social individual.
20. Matrix structure.
27. Mutual adjustment; power flows to expertise.
31. My link, not stated on the slides.